

4. Check your withholding. You filled out a W-4 when you started your job. Changes in your personal life, as well as changes in the tax law, may result in your having too little or too much tax withheld from your paycheck. If you get married, buy a home, have a baby, or experience any other major financial life change, you should reevaluate your withholding. Contact your human resources or employee benefits office to do this.

If you receive a big refund from the IRS, you should probably increase the number of withholding allowances you claim. Although receiving a cash windfall from the IRS feels great, it isn't a smart financial move. It means you've been lending money to the IRS that could have been in an account earning interest for *you*. A refund occurs after you've given the IRS too much money during the year. The problem is, the IRS doesn't pay you interest for the additional money withheld from your paycheck during the year. And although some people say that overwithholding is a good "forced savings program," I don't agree. You're better off withholding the right amount and funneling small amounts of cash into an automatic savings program throughout the year. (See Chapter 2 for details.) That way you get forced savings plus earnings.

There are other ways that adjusting your withholding can help you. If you just graduated from college, for instance, and you'll be working for less than 12 months this calendar year, request a special withholding method known as a part-year option. Then your employer will calculate your withholding based on the number of months you actually earn money this year, rather than basing the withholding on your annual salary. This will prevent overwithholding.

A warning: Don't claim more allowances than you deserve. This will result in your employer's withholding too little tax during the year and you owing money at tax time. You're required to pay at least 90% of the tax you owe incrementally—as in over the course of the year. If you take too many allowances and pay less than 90%, you might be hit with a penalty and charged interest on the money you owe. Plus, of